

## Cash and Treasury Management Policy

| Issue Date | Review Date | Version |
|------------|-------------|---------|
| May 2025   | March 2028  | 6       |

### Purpose

The purpose of this document is formally to outline the Trust's policy on treasury and cash management within the organisation. The policy identifies the approach that the Trust is expected to follow in this area and establishes an environment in which all objectives and activities are clearly defined.

### Who should read this document?

Senior Management Team and Finance Department. All staff responsible for cash and treasury management.

### Key Messages

1. The Trust needs a strong cash and treasury management environment.
2. Principles of Trust's cash and treasury management framework and associated controls are outlined.

### Accountabilities

|                            |                                                                                                                                     |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| <b>Production</b>          | Davina MacDougall (Head of Financial Services)                                                                                      |
| <b>Review and approval</b> | Alex Keast (Director of Operational Finance)                                                                                        |
| <b>Ratification</b>        | Sarah Brampton (Chief Finance Officer)                                                                                              |
| <b>Dissemination</b>       | Email sent to required audience. Advertising in Daily e-mail, Available on Trust StaffHub/Sharepoint (UHP Policies and Procedures). |
| <b>Compliance</b>          | Review of policy by internal and external audit.                                                                                    |

### Links to other policies and procedures

Standing Orders, Standing Financial Instructions, Scheme of Delegation.  
 Fraud, Bribery & Corruption Policy.  
 Conduct policy.  
 Purchasing card guidance.

### Version History

|   |                |                               |
|---|----------------|-------------------------------|
| 1 | February 2013  | Document Created              |
| 2 | June 2016      | Document reviewed and updated |
| 3 | May 2019       | Document reviewed and updated |
| 4 | September 2021 | Document reviewed and updated |
| 5 | September 2024 | Document reviewed and updated |
| 6 | May 2025       | Document reviewed and updated |

Equality, diversity, and inclusion is at the heart of the NHS strategy and for UHP this means ensuring we create an equitable organisation for colleagues, patients, and visitors. Our inclusion agenda recognises that everyone matters, as well as understanding that there are times when people, particularly those from protected groups (defined by the Equality Act 2010 - age; disability; gender reassignment; marriage and civil partnership; pregnancy and maternity; race; religion or belief; sex; sexual orientation), may face unfairness and discrimination.

We have a moral responsibility to work in a way that creates fairness as well as a legal and public sector equality duty which we take very seriously. We will always aim to create policies and practices that eliminate workplace discrimination and health inequalities, as well as strengthening our relationships within the community and with our colleagues who may identify with one or more protected groups.

A diverse workforce improves the experience of our patients and creates an environment where everyone belongs and feels included. UHP recognise that we all play a part in providing exceptional care to patients as well as showing kindness and compassion to patients and colleagues.

**An electronic version of this document is available in the Document Library. Larger text, Braille and Audio versions can be made available upon request.**

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## **1 Introduction**

- 1.1. NHS organisations are expected to operate in a climate of strong corporate governance and to ensure that public monies are used efficiently and effectively. In delivering this expectation the Trust needs to set out formally its approach to managing its treasury function and minimising the risks that the Trust is exposed to in this area.

## **2 Purpose**

- 2.1 The purpose of this document is formally to outline the Trust's policy on treasury and cash management within the organisation. The policy identifies the approach that the Trust is expected to follow in this area and establishes an environment in which all objectives and activities are clearly defined. This covers both its revenue cash position and its funding of the capital programme. The policy also identifies the procedures to be followed in the day to day management of the cash position and processing of debtor and creditor transactions.
- 2.2 Adherence to this Policy will ensure that the Trust complies with all statutory, regulatory and performance management obligations. It will define roles, responsibilities and maintain segregation of duties, regularly monitor the effectiveness of cash management, and ensure that strict controls are enforced over authorisation limits.
- Specifically:
- Compliance with this Policy is an obligation for all Trust staff.
  - No Treasury management operations may be undertaken except by designated staff within the Finance Directorate.
  - No treasury management operations may be undertaken outside this Policy and any operational guidelines established under it.
- All investment of surplus cash must be reported to the xx Group, Finance, Investment and Infrastructure Committee and the Trust Board.
- 2.3 This policy has also been developed with reference to internal and external audit standards and the NHS Shared Business Services contract schedules. Input and review has also been obtained from the Trust's Senior Finance Team.
- 2.4 This Policy covers cash management in respect of the Trust's own funds and transactions only. Procedures for charitable funds are subject to separate written guidance (Charitable Funds policy).

## **3 Definitions and Background**

- 3.1 Cash is a key resource and must be managed effectively to ensure that all of the Trust's financial obligations can be met without interruption. Any borrowing or other cash management costs must be minimised through effective forecasting, decision making and monitoring. Where possible, and subject to operational constraints and considerations of risk, short term cash surpluses should be invested to maximise their return.
- 3.2 NHS Trusts are allowed to:
- retain cash generated through revenue surpluses for investment in revenue spending in future years, subject to compliance with statutory breakeven duty, or for investment in capital;
  - retain unspent cash associated with the charge for depreciation of existing assets, for capital investment;

- use capital receipts to finance capital investment in future years. Where the sums are immaterial, NHS trusts are able to retain the cash locally. Where the sums are material, the DH will take a Public Dividend Capital (PDC) repayment and Capital Resource Limit (CRL) reduction in the year of disposal, and re-provide equivalent PDC and CRL for any planned capital investment within the current 3 year allocation/settlement period;
  - take up revenue support loans to support revenue deficits, and capital loans for additional capital investments. These are on condition that the Trust meets Department of Health and Social Care (DHSC) criteria including ensuring business cases are in place to support the applications, and revenue support may be limited in accordance with DHSC cash constraints.
  - It should be noted that in 2020-21 NHS England introduced Integrated Care System (ICS) capital allocations. These allocations control the total capital investments across the system and cannot be exceeded. Any capital investments outlined above must also be within this limit.
- 3.3 Cash Support for revenue requirements is available to providers in the form of PDC Revenue, where there is no set repayment schedule, but there is a dividend payable at the current dividend rate.
- 3.4 The Trust is restricted in relation to the sum of money it can keep in commercial bank accounts, and therefore has limited options for investing its surplus cash and investment with individual institutions with the majority required to be retained in Government Banking Services (GBS). Funds held in the GBS account also reduce the amount of Public Dividend Capital (PDC) payable by the Trust at a rate of 3.5% per annum.

### **Objectives**

- 3.5 The key objectives of the Cash and Treasury management policy are to ensure that:
- Cash is managed such that the liquidity of the Trust is optimised and cash management processes and controls deliver value for money for the Trust and associated risks are mitigated appropriately, with adequate working capital available at all times to meet ongoing liabilities and commitments, by:
    - Ensuring that all creditors receive settlement of their invoices in accordance with contractual terms, aligned to the Better Payment Practice Code.
    - Minimising the level of funds owed to the Trust by effective credit control and debt recovery, ensuring the availability of adequate levels of funding at all times;
  - Identifying and managing the financial risks, including interest rate and foreign currency risks, arising from operational activities;
  - Ensuring compliance with all banking arrangements as set out in the Trust's Standing Financial Instructions and its banking mandates;
  - Financial support requirements are managed in accordance with predetermined guidelines, ensuring cash support is accurately forecast and minimised to meet the Trust's current and future requirements;
  - The Trust Board is kept fully aware of the Trust's ongoing cash position by regular and thorough reporting.
  - All transactions and reviews are carried out within the appropriate timeframe and

by the appropriate person;

- all cash transactions are adequately documented and authorised;
- Procedures are in place for dealing with banks, and any other external party to the Trust's Treasury management operation, and strong, long-term relationships are maintained with a core group of quality banks (Government banking Service and Commercial banks) that can meet current and future funding requirements.
- accurate cash forecasts are produced.

### **Cash and treasury management control environment**

3.6 The controls identified in this policy are designed to ensure that the Trust's cash and treasury management objectives are met and activities are undertaken in a controlled and properly reported manner.

3.7 The Trust will create a robust control environment by having:

- clearly defined roles and responsibilities, that are understood by all,
- regular monitoring and reporting of the progress of cash management;
- systems to ensure effective and efficient cash flow, including proactive management of payables and receivables balances;
- strict controls over who can operate bank accounts and authorisation limits;
- proper segregation of duties between the cashier function and those who initiate expenditure and income transactions.

3.8 A rolling cash flow forecast will be used and cash will be managed on a daily and weekly basis to ensure that:

- all financial obligations can be met on, or before, the day they fall due;
- borrowing is a last resort and is only taken when required. The Trust will not borrow in advance of need;
- borrowing costs are held to the minimum;
- surplus cash achieves the best possible rate of return with the proviso that the Trust is obliged to lodge surplus cash with the Government Banking Service (GBS); and
- the Board is kept fully aware of the Trust's on-going cash position and performance against its cash plan.

3.9 The Trust will maintain bank accounts with the Government Banking Service and with a commercial bank, approved by the Board, in line with the Standing Financial Instructions.

3.10 The Trust's cash management procedures will be subject to periodic review by its internal auditors and external auditor as part of their audit undertakings. Any weaknesses, or significant deviations from agreed policies and procedures will be reported to the Audit and Risk Assurance Committee and, where appropriate, to the Trust Board.

3.11 Detailed operational guidance, for the relevant financial operations, is shown at Appendix 4 to this policy.

## 4 Key Duties and responsibilities

The key duties and responsibilities are stated below.

4.1 The **Trust Board**, under guidance from the Audit and Risk Assurance Committee (ARAC) is responsible for:

- approving the Standing Financial Instructions, Standing Orders and Scheme of Delegated Limits on an annual basis,
- delegating responsibility for approval of the Cash and Treasury Management Policy to the Chief Finance Officer,
- approving a list of employees authorised to make borrowings on behalf of the Trust. This must include the Chief Executive and the Chief Finance Officer;
- delegating responsibility for cash management operations to the Chief Finance Officer; and
- approving the opening of bank accounts via the Finance, Investment and Infrastructure Committee.

4.2 The **Finance, Investment and Infrastructure Committee** is responsible for:

- approval of the Trusts Investment and borrowing policy (where applicable)
- approval of the relevant benchmarks for measuring performance
- review and monitor investment and borrowing policy and performance against agreed benchmarks
- approving the opening of bank accounts
- ensuring there are proper and robust safeguards in place for security of the Trust's monies by:
  - agreeing the list of permitted institutions, investment limits and permitted investment types for investment of cash surpluses;
  - ensuring approved bank mandates are in place for all Trust accounts and that these are updated regularly for any changes in signatories and authority levels;
  - monitor compliance with the Cash and Treasury Management policy and procedures;
  - delegate responsibility for day to day treasury operations to the Trust's Chief Finance Officer.

4.3 The **Audit and Risk Assurance Committee** is responsible for assuring the Board on matters concerning: governance (including financial governance, corporate governance and clinical audit); risk management; and internal control, seeking assurance from internal and external audit and counter fraud.

The Committee reviews the adequacy and effectiveness of key policies/procedures for ensuring compliance with relevant regulatory, legal and code of conduct requirements (including the Standing Orders, the Scheme of Reservation and Delegation and the Standing Financial Instructions and the Standards of Business Conduct policy) and any related reporting and self-certifications.

4.4 The **Chief Finance Officer** is responsible to the Board for all aspects of cash management in the Trust. The Chief Finance Officer will:

- ensure that Trust cash management is carried out in line with this policy;
- ensure that any borrowing is necessary and affordable to the Trust in the longer term;
- ensure proper safeguards are in place for ensuring the security of the Trust's funds by ensuring that approved bank mandates are in place for all accounts, and that these are updated regularly for any changes in signatories and authority levels.
- ensure treasury activities are reported appropriately to the Finance, Investment and Infrastructure Committee and the Trust Board

4.5 The **Director of Operational Finance/Associate Director of Finance** will:

- fulfil the role of the Chief Finance Officer, in respect of the above, in the absence of the Chief Finance Officer;

4.6 The **Associate Director of Finance / Head of Financial Services** will:

- ensure that the staff performing the cash management function are adequately experienced, trained and supported to carry out their role;
- have management responsibility and oversee the operational management and performance of the Cash Management service (currently provided by NHS Shared Business Services) and
- oversee the cash management function.
  - approve Trust purchase cards and temporary changes to credit limits, allowable areas of expenditure, individual limits, and barring of services
  - report on a regular basis on the appropriateness of the Cash and Treasury Management Policy to the Finance and Investment Committee
  - approve Trust purchase cards and temporary changes to credit limits, allowable areas of expenditure, individual limits, and barring of services.
  - ensure treasury activities are managed according to the Cash and Treasury Management Policy
  - ensure timely and accurate information is available to support the management of the treasury function

4.7 The **Chief Financial Accountant** will:

- manage the cash function, ensuring that policies and procedures are adhered to;
- update cash management policies and procedures, when necessary, for approval by the Audit and Risk Assurance Committee; and
- make recommendations and escalate issues, when necessary, to the Head of Financial Services, Associate Director of Finance/Director of Operational Finance /Chief Finance Officer as appropriate;
- ensure:
  - accurate and timely recording in the Trust's accounting records of all treasury transactions



- bank reconciliations are carried by SBS and reviewed by the Cash Manager monthly with exceptional items being reported to the Chief Financial Accountant. A summary of items not reconciled, over 90 days old, to be included in the monthly Working Capital Report by exception.

#### 4.8 The **SBS Cash Management Service** will:

- implement the Cash and Treasury Management Policy;
- ensure cash management activities are reported on a timely and accurate basis;
- manage, on a day to day basis, the Trust's key banking relationships;
- manage cash activities within the agreed policies and procedures;
- manage and monitor the processes and procedures in place to control Trust debtor and creditor balances;
- ensure accurate and timely recording in the accounting records of all cash transactions, undertake bank reconciliations and match bank statements and confirmations with internal documentation.

4.9 **External and Internal Audit** are responsible for ensuring the Trust's Cash and Treasury Management Policy and procedures will be subject to periodic review by the Auditors as part of their audit undertakings and any significant deviations from agreed policies and procedures will be reported to the Audit and Risk Assurance Committee and where appropriate to the Trust Board.

#### Summary of Reporting Lines

| <b>Role</b>                     | <b>Reports to</b>               |
|---------------------------------|---------------------------------|
| Chief Finance Officer           | Chief Executive / Trust Board   |
| Director of Operational Finance | Chief Finance Officer           |
| Associate Director of Finance   | Director of Operational Finance |
| Head of Financial Services      | Associate Director of Finance   |
| Chief Financial Accountant      | Head of Financial Services      |
| SBS Cash Management team        | Chief Financial Accountant      |

#### Conclusion

Treasury management is the efficient management of liquidity, investment, funding and associated financial risks. The actions to manage these risks will vary as their nature changes over time. This policy provides a clearly defined risk management framework for those responsible for treasury operations. In order to realise the benefits fully it is essential that the policy is kept up to date to reflect any changes in the Trust's operations.

| <b>5</b> | <b>Key elements</b>                                                                                                                                                                                                                                                                                                                                                                        |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5.1      | The annual operating cash forecast will be prepared in advance of the start of the financial year. This will be reviewed and updated on a daily basis in conjunction with monitoring of the Trust's bank accounts by SBS. The operating cash forecast will be reviewed on a weekly basis by the Chief Financial Accountant who will determine whether any cash shortfalls are anticipated. |
| 5.2      | Borrowing requirements will be determined by the Chief Finance Officer and recommended to the Finance, Investment and Infrastructure Committee.                                                                                                                                                                                                                                            |

- 5.3 Borrowing will always be a last resort, within the constraint of meeting payment obligations. Any borrowing will be subject to Board, DHSC and NHSE approval of the selected DHSC borrowing facility. Borrowing will be restricted to the minimum required to meet expected shortfalls and will never be taken in advance of need (in line with the DHSC minimum cash balance principle).
- 5.4 Cash will never be borrowed with a view to investing.
- 5.5 The Trust will not borrow from any commercial organisation unless the Department of Health and Social Care specifically allows this. In such circumstances, DHSC regulations or guidance will be rigorously followed.
- 5.6 Bank accounts will not have overdraft balances.
- 5.7 The Board will not expect to require a guarantee or to use an overdraft facility. If surplus cash is forecast it will be held in the GBS bank account until required to maximise the return from interest. However, NHSE may determine that significant surpluses realised from capital transactions (sales and depreciation) should be used to repay PDC and reduce the CRL.
- 5.8 Investments outside the GBS account will not be made.
- 5.10 Cash flow will be optimised by good management of working capital. Significant debtor and creditor balance are to be reviewed and not to be accumulated causing future cash flow issues unless completely unavoidable. Large prepayments are to be avoided unless a clear revenue saving can be identified. Stock levels are to be maintained at minimum but safe levels across the Trust.
- 5.11 All staff will support effective cash management in the Trust by ensuring that all invoices for payment receive prompt attention and are passed to the payments team. The payments team will comply with the Better Payment Practice Code, i.e. payment within 30 days of receipt of an invoice or prompt resolution of a query.
- 5.12 In the event of any unavoidable cash shortage, for example if the DHSC and NHSE do not approve the issue of revenue PDC sufficient to maintain all payment terms, or an urgent and unplanned payment has arisen for any unforeseen reason, the Trust will take the following action:
  - a) Ensuring maximum debtor balances are collected
  - b) Review of VAT return and associated payment timings
  - c) Maximise contract payment terms with commissioners
  - d) Agree extended creditor terms with suppliers wherever possible.
  - e) Hold supplier payments. The following policy will be applied to identify those payments which are recommended to be held.
    - i. *Supplier payments only to be held when agreed with the supplier\**
    - ii. *Larger suppliers to be held in their entirety for agreed period rather than a smaller delay to all suppliers. This will enable agreements from suppliers to be managed and maximised, reduce risk of any small business not being paid and make administration more manageable.*
    - iii. *\*Subject to the rest of the points set out above in the event that a payment is to be held for less than 7 days, the Trust will need to retain the flexibility to not have a prior agreement in place.*
    - iv. *Any suppliers identified where delayed payment would lead to supplies being held to be excluded*
    - v. *Any suppliers where difficult relationships exist and payment holds may have an adverse impact are to be excluded.*

- f) As a last resort, it may be necessary to delay the monthly payment of PAYE and NI to HMRC (subject to approval from the Board).
- 5.13 Staff with a responsibility for providing goods or services to external parties will ensure that invoices are raised promptly in accordance with any relevant guidance. (Appendix 4 provides further guidance regarding this within the debtors section). Staff will adhere to procedures prepared and distributed by the Director of Finance when dealing with accounts receivable or payable.
- 5.14 The Board will receive a report each month detailing the Trust's cash position, performance against plan, forecast year end position and borrowing requirements to date. The Finance, Investment and Infrastructure Committee will seek further explanations or information as required.

## **6 Overall Responsibility for the Document**

- 6.1 The Chief Finance Officer is responsible for the implementation and review of this policy.

## **7 Consultation and Ratification**

- 7.1 The design and process of review and revision of this policy will comply with The Development and Management of Trust Wide Documents.
- 7.2 The review period for this document is set as default of three years from the date it was last ratified to ensure that it continues to reflect the latest regulations and remains fit for purpose. However, any significant change in national regulation during this period will require the Policy to be updated before the review date.
- 7.3 This document will be approved by the Chief Finance Officer.
- 7.4 Non-significant amendments to this document may be made, under delegated authority from the Chief Finance Officer, by the nominated author. These must be ratified by the Chief Finance Officer and should be reported, retrospectively, to the approving Finance, Investment and Infrastructure Committee.
- 7.5 Significant reviews and revisions to this document will include a consultation with named groups, or grades across the Trust. For non-significant amendments, informal consultation will be restricted to named groups, or grades who are directly affected by the proposed changes.

## **8 Dissemination and Implementation**

- 8.1 Following approval and ratification, this policy will be published in the Trust's formal documents library and all staff will be notified through the Trust's normal notification process.
- 8.2 Document control arrangements will be in accordance with The Development and Management of Trust Wide Documents.
- 8.3 The document author will be responsible for agreeing the training requirements associated with the newly ratified document with the named Chief Finance Officer and for working with the Trust's training function to arrange for the required training to be delivered.

## **9 Monitoring Compliance and Effectiveness**

- 9.1 The cash and treasury management framework and controls will be subject to regular internal and external audit reviews. Any non-compliance will be reported to the Audit and Risk Assurance Committee.

## 10 Counter Fraud

- 10.1 Concerns regarding NHS fraud, bribery and corruption must be reported. Reports should initially be direct to the Local Counter Fraud Specialist (LCFS). You can also report your concerns to the Chief Finance Officer or equivalent. Your Local Counter Fraud Specialist (LCFS) is:
- Name: Jazmine Noot  
Email: [jazmine.noot@nhs.net](mailto:jazmine.noot@nhs.net)  
Mobile: 07502 877486
- Address: ASW Assurance, Counter Fraud,  
Ground Floor, Brittany House,  
Brest Road,  
Derriford, Plymouth  
PL6 5YE
- 10.2 Your LCFS is trained to conduct their work in a professional, confidential and ethical manner and has a vital role to play within the counter fraud structure. They act as the “first line of defence” against fraud and corruption within the NHS. Working closely with the NHS Counter Fraud Authority.
- 10.3 If staff wish to report any suspicions or concerns and feel that it cannot be done internally, you can contact the NHS National Fraud and Corruption Reporting Line on 0800 0284060 (Freephone telephone number – available 24/7) or online via: <https://cfa.nhs.uk/reportfraud> (reports can be done anonymously)
- 10.4 Please do not: Investigate anything yourself, Undertake any surveillance, confront the individual(s) yourself, convey your suspicions to anyone other than those listed as above and do not ignore your suspicions and do nothing.
- 10.5 Any potential disciplinary matters will be dealt with by the Trust, whilst criminal cases will be progressed to the NHS Counter Fraud Authority. In the event that civil action is necessary to recover the lost funds, this will be taken by the Trust with the assistance of the LCFS.

| Core Information               |             |                                     |                  |                 |
|--------------------------------|-------------|-------------------------------------|------------------|-----------------|
| Document Title                 |             | Cash and Treasury Management Policy |                  |                 |
| Date Finalised                 |             | March 2025                          |                  |                 |
| Dissemination Lead             |             | Alex Keast                          |                  |                 |
| Previous Documents             |             |                                     |                  |                 |
| Previous document in use?      |             |                                     |                  |                 |
| Action to retrieve old copies. |             | Remove from Trust Documents         |                  |                 |
| Dissemination Plan             |             |                                     |                  |                 |
| Recipient(s)                   | When        | How                                 | Responsibility   | Progress update |
| All staff                      | on approval | Email                               | Document Control |                 |
| All staff                      | on approval | Add to Trust documents              | Document Control |                 |
|                                |             |                                     |                  |                 |

| Review                                           |                                                                                                                        |     |
|--------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|-----|
| <b>Title</b>                                     | Is the title clear and unambiguous?                                                                                    | Y   |
|                                                  | Is it clear whether the document is a policy, procedure, protocol, framework, APN or SOP?                              | Y   |
|                                                  | Does the style & format comply?                                                                                        | Y   |
| <b>Rationale</b>                                 | Are reasons for development of the document stated?                                                                    | Y   |
| <b>Development Process</b>                       | Is the method described in brief?                                                                                      | Y   |
|                                                  | Are people involved in the development identified?                                                                     | Y   |
|                                                  | Has a reasonable attempt has been made to ensure relevant expertise has been used?                                     | Y   |
|                                                  | Is there evidence of consultation with stakeholders and users?                                                         | Y   |
| <b>Content</b>                                   | Is the objective of the document clear?                                                                                | Y   |
|                                                  | Is the target population clear and unambiguous?                                                                        | Y   |
|                                                  | Are the intended outcomes described?                                                                                   | Y   |
|                                                  | Are the statements clear and unambiguous?                                                                              | Y   |
| <b>Evidence Base</b>                             | Is the type of evidence to support the document identified explicitly?                                                 | Y   |
|                                                  | Are key references cited and in full?                                                                                  | Y   |
|                                                  | Are supporting documents referenced?                                                                                   | Y   |
| <b>Approval</b>                                  | Does the document identify which committee/group will review it?                                                       | Y   |
|                                                  | If appropriate have the joint Human Resources/staff side committee (or equivalent) approved the document?              | N/A |
|                                                  | Does the document identify which Executive Director will ratify it?                                                    | Y   |
| <b>Dissemination &amp; Implementation</b>        | Is there an outline/plan to identify how this will be done?                                                            | Y   |
|                                                  | Does the plan include the necessary training/support to ensure compliance?                                             | Y   |
| <b>Document Control</b>                          | Does the document identify where it will be held?                                                                      | Y   |
|                                                  | Have archiving arrangements for superseded documents been addressed?                                                   | Y   |
| <b>Monitoring Compliance &amp; Effectiveness</b> | Are there measurable standards or KPIs to support the monitoring of compliance with and effectiveness of the document? | Y   |
|                                                  | Is there a plan to review or audit compliance with the document?                                                       | Y   |
| <b>Review Date</b>                               | Is the review date identified?                                                                                         | Y   |
|                                                  | Is the frequency of review identified? If so is it acceptable?                                                         | Y   |
| <b>Overall Responsibility</b>                    | Is it clear who will be responsible for co-ordinating the dissemination, implementation and review of the document?    | Y   |

| Core Information                                                                                                                                                                                                                     |                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|
| Manager                                                                                                                                                                                                                              | Alex Keast                                     |
| Directorate                                                                                                                                                                                                                          | Finance                                        |
| Date                                                                                                                                                                                                                                 | March 2025                                     |
| Title                                                                                                                                                                                                                                | Director of Operational Finance                |
| What are the aims, objectives & projected outcomes?                                                                                                                                                                                  | Review of Cash and Treasury Management policy. |
| Scope of the assessment                                                                                                                                                                                                              |                                                |
| This policy has limited equalities and human rights impact, all appropriate staff have been consulted and this policy is available in all forms of communication upon request and contains no restriction or prejudice to any group. |                                                |
| Collecting data                                                                                                                                                                                                                      |                                                |
| Race                                                                                                                                                                                                                                 | N/A                                            |
| Religion                                                                                                                                                                                                                             | N/A                                            |
| Disability                                                                                                                                                                                                                           | N/A                                            |
| Sex                                                                                                                                                                                                                                  | N/A                                            |
| Gender Identity                                                                                                                                                                                                                      | N/A                                            |
| Sexual Orientation                                                                                                                                                                                                                   | N/A                                            |
| Age                                                                                                                                                                                                                                  | N/A                                            |
| Socio-Economic                                                                                                                                                                                                                       | N/A                                            |
| Human Rights                                                                                                                                                                                                                         | N/A                                            |
| What are the overall trends/patterns in the above data?                                                                                                                                                                              | N/A                                            |
| Specific issues and data gaps that may need to be addressed through consultation or further research                                                                                                                                 | N/A                                            |
| Involving and consulting stakeholders                                                                                                                                                                                                |                                                |
| Internal involvement and consultation                                                                                                                                                                                                | N/A                                            |
| External involvement and consultation                                                                                                                                                                                                | N/A                                            |
| Impact Assessment                                                                                                                                                                                                                    |                                                |

|                                                 |       |       |                 |                 |
|-------------------------------------------------|-------|-------|-----------------|-----------------|
| Overall assessment and analysis of the evidence | N/A   |       |                 |                 |
| Action Plan                                     |       |       |                 |                 |
| Action                                          | Owner | Risks | Completion Date | Progress update |
|                                                 |       |       |                 |                 |



The following guide sets out the cash management operations that the Trust has in place to ensure that it meets the objectives and controls environment outlined in the Cash and Treasury management policy.

It covers the following areas:

- Bank mandates
- Routine cash management procedures
- Debtor management
- Creditor management
- Cash reporting
- Cash flow forecasting

### **Bank mandates**

2. Copies of the bank account mandates are maintained by the Chief Financial Accountant. SBS also hold Government banking mandates for their transactions. The Trust Mandate is reviewed by internal audit and any issues reported to the Audit and Risk Assurance Committee with regard to signatories and appropriate limits. Copies are sent to all counterparties together with specimen signatures.

### **Routine cash management procedures**

3. The SBS Cash Service will:
  - review the cash requirements on a daily basis, examining cash brought forward, daily transactions and the subsequent cash requirement or availability;
  - review the required movement of funds between bank accounts on a daily basis;
  - ensure that the Trust holds sufficient liquid funds to cover all known commitments;
  - review, where necessary, the draw-down of borrowed funds or payment of interest or capital to lenders;
  - review the debtor and creditor run information, to ensure the Trust maximises its cash position; and
  - ensure all reconciliations and accounting requirements are in place including monthly bank reconciliations, ensuring that the balances are accurate and unallocated items are cleared.
  - These functions are reviewed by the Chief Financial Accountant who will liaise with the SBS service if there are any issues.

### **Debtor management**

4. The following paragraphs are relevant to all goods and services provided by the Trust, subject to the requirements that:
  - where possible payment in advance should be collected for all on-site transactions with patients valued below £100 (for prescriptions, appliances, legal notes requests etc);
  - where possible payment in advance from private patients should be collected for the full value of the treatment and failing that for a deposit representing the expected

value of the treatment to be provided. Specific arrangements may be required for some health insurance companies; and

- the policy and procedure relating to overpayments of salary, allowances and benefits should be followed where a recovery of debt is required from an employee or ex- employee.
5. Invoices must be raised for goods and services provided by the Trust, including all private patient work.
  6. Payments from the Trust's main commissioners are paid by RFT on the 15<sup>th</sup> of each month on one twelfth of the block contract value, with variable performance reimbursed retrospectively.
  7. Other contracts outside the main commissioner SLA contracts will be raised on at least a quarterly basis, and wherever possible in advance.
  8. Invoices for all other goods and services should be raised no later than 7 working days after the service is performed or the goods sold.
  9. Only approved staff with specific Oracle access can raise sales orders. Sales order limits are set appropriately in accordance with the SBS Oracle scheme of delegation, with any invoice values over the delegated amount needing approval from the operator's line manager. The orders are raised by various operators across the Trust, primarily in the areas below, and records of the requests retained for inspection.
    - a) Finance Support Team
    - b) Private Patient Admin Team
    - c) NCA and Overseas Visitors Office
    - d) Pathology Admin team
    - e) Accommodation office
  10. All requests once approved go to SBS whose team will raise the sales invoice within 2 working days from receipt.
  11. When invoices are raised, credit control will be undertaken by the SBS debt team in line with their debt management policy. If invoices are not settled within the specified time periods the following escalation process will be put into place:

|                                      |                                                              |
|--------------------------------------|--------------------------------------------------------------|
| Not settled by due date              | 1 <sup>st</sup> Reminder letter Issued                       |
| Not settled within a further 10 days | 2 <sup>nd</sup> Reminder letter Issued                       |
| Not settled by due date              | Collection action will start and SBS will contact the debtor |

If any further information from the Trust is required, SBS will raise a Credit Memo request through the Oracle system to the sales order raiser. Once information has been supplied then SBS will resume chasing. If the debtor still refuses payment then SBS will ask the Trust for approval to go to external debt recovery agencies.

12. An Aged Debt Report will be produced by NHS SBS on a monthly basis and reviewed by the Treasury Team Leader and Chief Financial Accountant. The report will contain all relevant information e.g. organisation, age of debt, size of debt, type of debt etc. There is a monthly (but sometimes also weekly) call with SBS to discuss the outstanding debts and the action being taken.
13. In addition, a list of monthly debtor accruals will be produced by the management accounts section and will be reviewed by the Chief Financial Accountant on a monthly basis to ensure invoices are being raised as early as possible.

## Creditor management

14. Goods and services must be requisitioned using the official EPROC/Pharmacy/Estates ordering systems, as approved by the Trust. These orders are then placed and approved by the Trust's procurement team.
15. The Trust procurement team has the responsibility for negotiating the best combination of trade discounts and settlement terms.
16. When goods are received Trust staff (usually but not always the Stores team) will receipt the items. The SBS Accounts Payable team will match and record invoices against the orders and receipts using the Oracle system. When this three-way match is correct then the invoice is approved for payment automatically. If there are mismatches then notifications will be sent to staff to resolve.
17. Invoices without order numbers ("Non POs") will be electronically scanned upon receipt, with e-mail notification to authorising officers who will then electronically authorise the invoice.
18. All purchase order requisitions, and non-purchase invoice approvals are controlled by the Oracle system's authorisation limits hierarchy which is regularly reviewed by the finance department and in line with the Trust's detailed scheme of delegation.
19. Controls that are in place to ensure timeliness in the settlement of debts and to avoid late payment charges include:
  - requirement for all invoices to the Trust to be addressed to SBS rather than the Trust site and the departments to which the goods or services are provided;
  - requirement that all invoices must identify the name of the department and the authorising officer at the Trust; and
  - the performance on prompt authorisation and payment of supplier invoices is reported through the monthly Performance Dashboard and managed through the Performance Management Regime.
20. The SBS payments team create payment runs based on the invoices that have completed the approval and validation process and are due for payment to meet the agreed terms or within thirty days, whichever is the shorter.
21. Creditors will be paid on a twice weekly basis to maximise the flexibility of terms and minimise the need for urgent payment runs. It is the Trust's aim to meet the requirements laid down in the Better Payment Practice Policy.
22. The SBS payments team provide information to the SBS Cash team on weekly run values so they can build this into their operational cash flow forecast.
23. In addition, a list of monthly creditor accruals will be produced by the management accounts section and will be reviewed on a monthly basis by the Chief Financial Accountant to ensure invoice accruals are accurate and realistic.
24. In the event of any unavoidable cash shortage, for example if the DHSC and NHSE do not grant revenue PDC sufficient to maintain all payment terms, or an urgent and unplanned payment has arisen for any unforeseen reason, the Trust will take the following action:
  - a) Ensuring maximum debtor balances are collected
  - b) Review of VAT return and associated payment timings
  - c) Request short term cash support from NHSE and DHSC
  - d) Maximise contract payment terms with commissioners

- e) Agree extended creditor terms with suppliers wherever possible. The following policy will be applied to identify those payments which are recommended to be held.
  - i. *Supplier payments only to be held when agreed with the supplier\**
  - ii. *Larger suppliers to be held in their entirety for agreed period rather than a smaller delay to all suppliers. This will enable agreements from suppliers to be managed and maximised, reduce risk of any small business not being paid and make administration more manageable.*
  - iii. *\*Subject to the rest of the points set out above in the event that a payment is to be held for less than 7 days, the Trust will need to retain the flexibility to not have a prior agreement in place.*
  - iv. *Any suppliers identified where delayed payment would lead to supplies being held to be excluded*
  - v. *Any suppliers where difficult relationships exist and payment holds may have an adverse impact are to be excluded.*
- f) As a last resort, it may be necessary to delay the monthly payment of PAYE and NI to HMRC (subject to approval from the Board).

### **Cash reporting**

25. A daily cashbook is published by the SBS cash team which gives the Trust the daily cash balance and a rolling list of transactions for the last few months. This report is accompanied by a daily cash flow report which updates the SBS operational cash flow forecast. The cash flow projections will distinguish the key areas of expenditure (pay, PAYE, contractual obligations, scheduled payment runs, any PDC transactions) and income (monthly SLA payments and profiled other income receipts.) The operational cash flow report is reviewed by the Chief Financial Accountant and along with other local knowledge these reports are used to determine short-term cash flow requirements.
26. A monthly cash report is included in the balance sheet section of the monthly Finance, Investment and Infrastructure Committee report. This includes the following details,
  - actual cash performance against the annual cash plan;
  - analysis of cash/borrowings;
  - debtor and creditor positions.
27. Details of the cash position are also included in the monthly Board paper.
28. The monthly Board reporting information and graphs will be supplied by the Chief Financial Accountant within three working days of the monthly closedown.

### **Cash flow forecasting**

29. As mentioned above, as part of the SBS Cash management service, SBS prepare an operational cash flow forecast to the end of the current year. This cash flow includes all the significant monthly cash flow items and is reviewed by the Chief Financial Accountant who will notify SBS of any significant changes in assumptions.

Although this is adequate for the day to day cash flow forecasting, it is not linked directly to the Trust's current I&E forecast and the current balance sheet. A separate monthly cash flow forecast is prepared by the Head of Financial Services for this purpose. This forecast picks up the latest management accounts income and expenditure forecast for the year and an indicative income and expenditure position for the following 12 months. The forecast also analyses the current balance sheet balances and capital plan to forecast these items. This forecast is then used to give the Trust a longer term cash flow forecast as a basis for longer term cash planning and management.